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Research

United States

Retail | Q2 2025

Los Angeles

- The LA retail market shows a healthy 5.8% vacancy rate, despite negative absorption -879,255 s.f., as a result of minimal new construction (0.1% of inventory.)
- Premium spaces drive leasing activity, with San Fernando and San Gabriel Valleys achieving positive rent growth versus metro's 1.0% decline.
- Limited construction pipeline (736,401 s.f., mostly pre-leased) supports market health, with developers focusing on redevelopment and adaptive reuse rather than speculative building

Los Angeles' retail market remains resilient despite challenges. Net absorption stands at -879,255 s.f. YTD and -2.1M s.f. over 12 months, driven by consumer shifts and store closures. Yet vacancy holds at 5.8% with minimal construction (0.1% of inventory), limiting supply risk and creating opportunity for investors and retailers.

Leasing activity reveals a pronounced flight to quality, with Class A and new spaces commanding premium demand despite limited inventory. Significant transactions include Round1's 160,000 s.f. commitment at Stonewood Center, underscoring preference for high-traffic locations. The San Fernando and San Gabriel Valleys outperform with positive rent growth, contrasting with the metro's 1.0% decline, benefiting from suburban demographics and reduced dependence on international tourism.

Minimal construction activity (736,401 s.f., mostly pre-leased) strengthens market fundamentals. Developers prioritize redevelopment and adaptive reuse over speculative projects, enhancing property values through strategic repositioning rather than new builds.

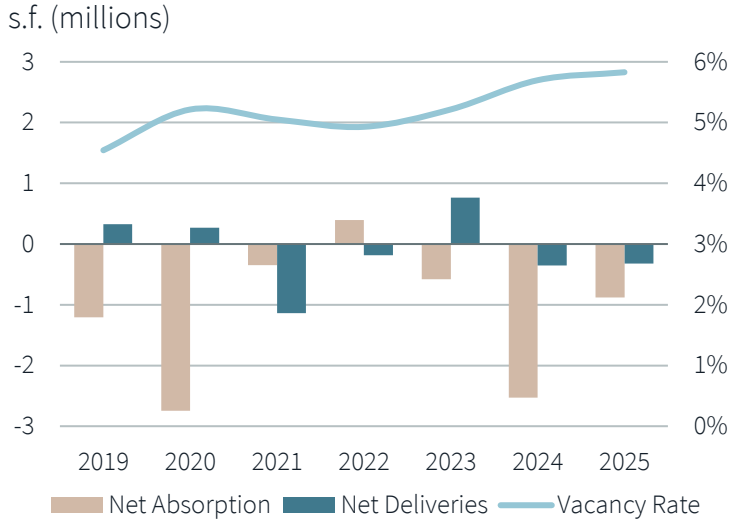
Outlook

Looking ahead, the Los Angeles retail market will likely continue to face headwinds through 2026, with rent growth trailing national averages as negative absorption persists. However, the limited new construction pipeline combined with ongoing demolition of obsolete space will help prevent a more dramatic rise in availability rates. Strategic opportunities abound for investors and retailers targeting premium space in resilient Los Angeles suburban submarkets.

Fundamentals	
YTD net absorption	-879,255 s.f.
YTD net deliveries	-319,945 s.f.
Vacancy rate	5.8%
Rent	$36.51 p.s.f.
Rent growth Y-o-Y	-0.7%
Stage in rental cycle	Rents falling

Note: physical Indicators are for the overall market, which covers the geographical area of Los Angeles County.

Historical supply and demand trends



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